

1915 SOUTH / ASHLEY • INNOVATION WORKSHOP

Innovation Workshop

1915 South | Ashley



Product, Ops, and Back–Office Innovation for Justin Woods

DATE • April 22, 2026
PREPARED BY • BRADY SMALLWOOD / MCEPTION.AI
CLASSIFICATION • DRAFT • INTERNAL REVIEW

Three Tracks, One Operating Thesis

1915 South is a high-performing regional retailer being asked to operate at corporate-grade sophistication — with the systems of a family-owned business. That gap is the opportunity. Thirty-eight ideas, organized across three tracks, rank-ordered by where the next dollar of management attention returns the most.

TOP 5 — DO NOW

B1 • Ops / AI Arbitrage

GMROI Optimization Engine

SCORE 4.70

B4 • Ops / AI Arbitrage

Marketing Content Factory (30-Market Engine)

SCORE 4.60

C5 • Back-Office / CFO Transition

AI/Tech Investment ROI Framework

SCORE 4.60

B18 • Ops / AI Arbitrage

AP Automation + 13-Week Cash Forecast

SCORE 4.70

C1 • Back-Office / CFO Transition

CFO Role Redesign — Hybrid Financial + Tech + AI Officer

SCORE 4.60

TOP 5 — EXPLORE FURTHER

A9 • Format / Product

Builder Pro B2B Channel

SCORE 3.90

B3 • Ops / AI Arbitrage

Automated Markdown Strategy

SCORE 3.90

B9 • Ops / AI Arbitrage

Labor Scheduling AI

SCORE 3.90

B2 • Ops / AI Arbitrage

AI Pricing Engine

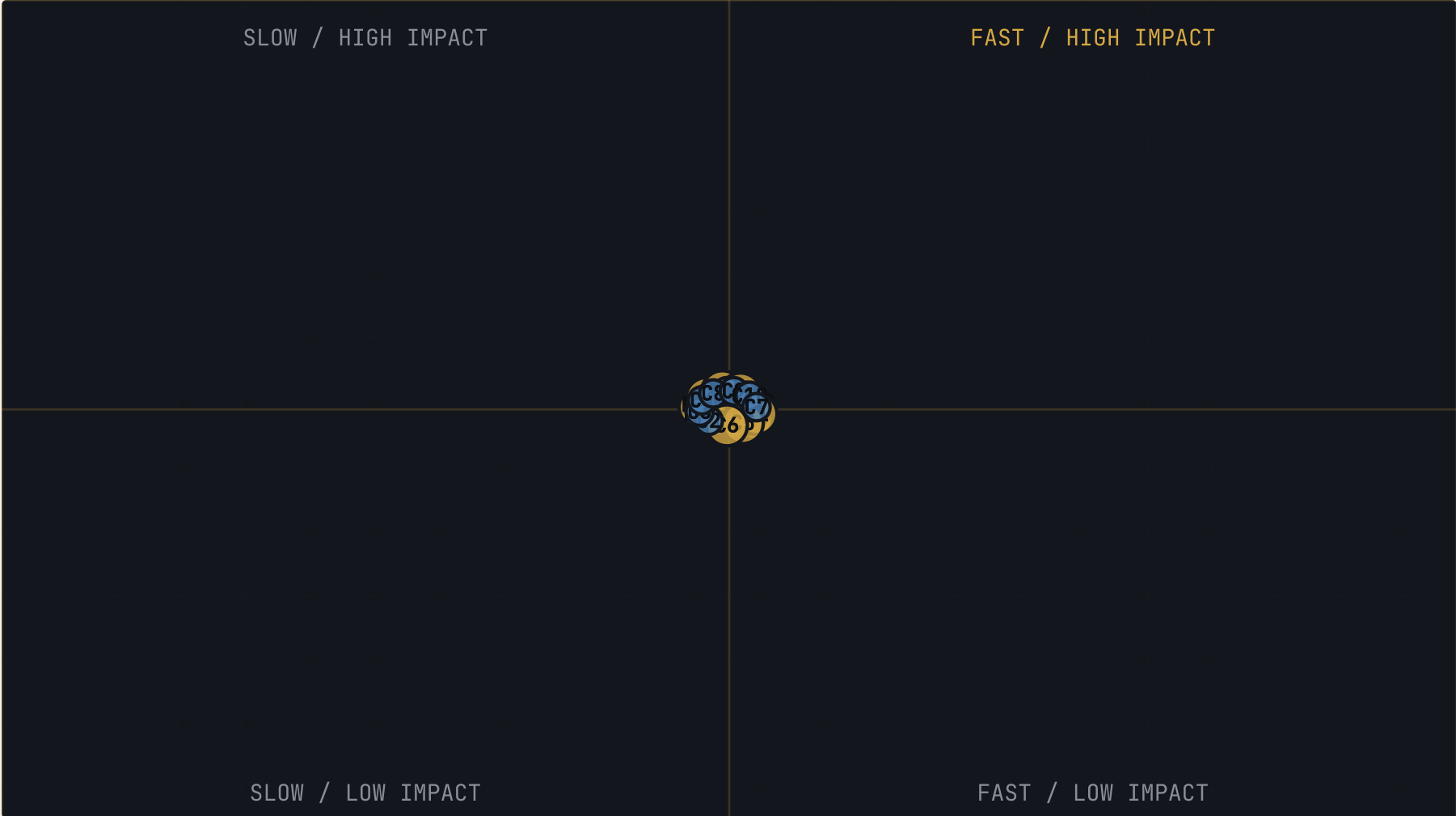
SCORE 3.90

B6 • Ops / AI Arbitrage

Regional Ad Spend Optimizer

SCORE 3.90

EFFORT × IMPACT



Y-axis: estimated financial impact at scale. X-axis: time to first pilot. Lower-left = small, slow. Upper-right = big and fast.

Ten Problems Justin Is Solving For

Every idea in this workshop references one or more of the problems below. Evidence comes from Justin's April 20 email, iMessage history, and public Ashley corporate communications. Binding constraint names the dimension that blocks progress.

#	PROBLEM	EVIDENCE	BINDING CONSTRAINT
P1	Ashley corporate's GMROI Excellence Framework has no execution layer at 1915 South — inventory ROI is measured but not actively optimized across 30 stores.	Ashley GMROI mandate (Dec 2024); 10% GMROI shift = \$2-4M freed capital.	FORMAT
P2	Marketing across 30 stores is fragmented and sub-scale — no unified content engine exploits the 30-market footprint.	Typical regional retailer pattern; \$9-12M annual ad spend likely sub-optimized.	LABOR
P3	Back-office accounting is sized for a pre-\$100M company — multi-entity consolidation, 30-store variance, cash position are manual or batch.	\$25M to \$182M growth without back-office rebuild; QBO transition floated.	THROUGHPUT
P4	CFO role design is incoherent — traditional accountant vs tech/AI strategist role conflict.	Justin's April 20 email: "not entirely happy with my CFO."	ORG
P5	Zapsight is building the data foundation — but nobody owns the decision/operating layer above it.	Vendor pattern at mid-market retailers; Zapsight is a tech shop, not strategy.	FORMAT
P6	The sleep/mattress vertical launch has no analytics or format foundation.	Justin's email: "a lot could shift here if we open up a new line of business with sleep."	FORMAT
P7	Store-of-the-future investment has no ROI framework — retail-tech capex is under-measured and vendor-pitched.	Justin's email names this as a "key long-term initiative."	CAPITAL
P8	Final-mile distribution has no data-driven SLA structure, routing optimization, or damage-rate instrumentation.	JB Hunt evaluation; industry damage 4-6% of \$2,500 tickets.	THROUGHPUT
P9	Acquisition strategy lacks a repeatable financial/operational due-diligence playbook.	Yulee, FL acquired 2025; Justin naming new VP Corp Dev role.	FORMAT
P10	Regional demand variance (FL coastal vs GA urban vs AL rural) is not exploited in assortment, pricing, or promotion.	30 stores across 6 states; distinct seasonal demand signatures.	FORMAT

Format / Product

Format and product innovation: new revenue lines, retail formats, and buyer-ready product concepts.

2

TIER 1

3

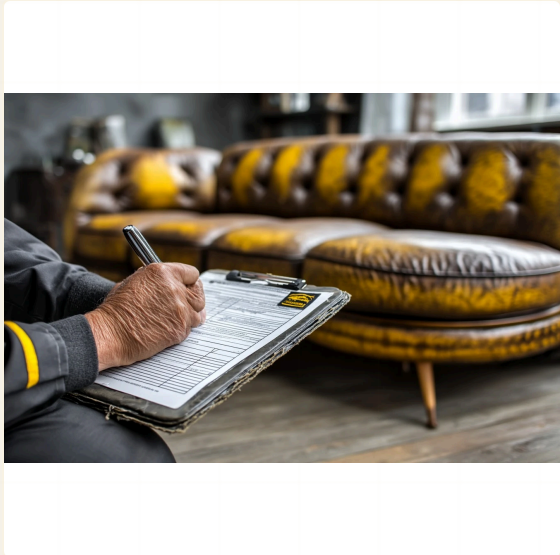
TIER 2

5

TIER 3

Ashley Care Plus — Service-as-Product

ID A5 • PROBLEMS P8 • METHOD #5 • danny-meyer-hospitality



WHAT

A productized service tier attached to every delivery: white-glove assembly, in-home placement, three-year fabric and mechanism warranty, annual upholstery check-up. Sold as a SKU — \$149 one-time, \$299 premium, or \$19/month for the life of the piece. Margin lives in attach rate and the subscription tail.

WHY NOW

Appliance retailers (Best Buy Geek Squad, Home Depot Pro) have normalized the service-attached-to-product motion. Furniture hasn't. At 1915 South's \$2,500 average ticket, a 30% attach at \$149 = \$44 per delivery = ~\$1.8M on 40K annual deliveries.

PILOT SPEC

5 stores across 2 states, 90 days. Instrument attach rate, repeat purchase velocity, NPS delta, warranty claim rate. Success metric: attach ≥25% at a blended \$120 AOV for the service SKU.

IMPACT

Revenue: +\$1.5–2.5M at scale. Margin: service margins typically 55–70% vs furniture's blended 42% — accretive to EBITDA. Retention: customers with a warranty subscription return at ~1.7x the base.

COMPETITIVE

Closest analogs: RoomToGo Guardian, Ashley Furniture Protection Plan (carrier- administered), local delivery contractors offering assembly. Nobody sells it as a branded service tier with subscription mechanics. Incumbents could copy within 12 months — so speed matters.

RISKS / FAILURE MODES

- Attach rate fails at 15% and the economics break — mitigate with a stripped \$49 tier that's purely assembly
- Warranty claim frequency exceeds reserve — price conservatively in year one, get actuarial data before scaling
- Service techs become the brand — under-invest in hiring and satisfaction craters

PRECEDENT

Best Buy Total Tech Support generates \$300M+ annually at 70%+ margin. Geek Squad is often cited by Hubert Joly as the lever that saved Best Buy from Amazon. Home Depot Pro Xtra and Lowe's MyLowe's Rewards prove the concept in big-box hard goods. No one has applied it to mid-market furniture.

OPS COMPLEXITY

Moderate. Need a back-office for claims, a roster of assembly techs, a CRM hook to track subscription renewals. Most of this plumbing exists already; the work is packaging and pricing.

method

Final-Mile Branded White-Glove Experience

ID A7 • PROBLEMS P8 • METHOD #5 • sam-walton-retail-doctrine



WHAT

Own the final mile as a branded customer asset, not a cost center. 1915 South– branded delivery vehicles and uniformed teams; photograph every delivered piece in–home and send to the customer; target <1% damage rate vs industry 4–6%. Partner with JB Hunt on the rolling stock, but the customer experience is 1915 South.

WHY NOW

Justin is actively evaluating a JB Hunt partnership — the contract window is the moment to negotiate the experience layer, not just the logistics. Once JB Hunt owns the customer touchpoint, you never get it back. Damage rates at 4–6% of \$2,500 tickets = \$5M+ annual leak on 40K deliveries.

PILOT SPEC

Jacksonville + Tallahassee, 120 days. One dedicated crew per market, two vehicles each. Instrument damage rate, NPS, photo–delivery send rate, repeat purchase velocity, referral rate. Success: damage <2%, NPS +15 vs baseline, photo–send ≥90%.

IMPACT

Damage savings: ~\$1–2M at scale if rate drops from 5% to 1.5%.
Customer lifetime value: white–glove delivery is the #1 NPS driver in furniture per Furniture Today 2024 consumer panel. Referral: every delivery is a photo moment — inbound social asset.

COMPETITIVE

Most Ashley franchisees outsource delivery to 3PLs with no brand overlay. RoomToGo and Havertys are better than average but still transactional. White– glove in furniture is a white–space gap at the franchisee tier.

PRECEDENT

Williams–Sonoma and Restoration Hardware own their delivery experience and command premium pricing for it. IKEA's TaskRabbit acquisition was a defensive move against this exact loss of touchpoint. In appliances, Best Buy's delivery is rated higher than Amazon's despite higher price.

OPS COMPLEXITY

Moderate–High. Branded vehicles + uniforms + training + photo workflow + CRM hook. JB Hunt negotiation is the critical path — must preserve customer touch in the SOW.

RISKS / FAILURE MODES

- JB Hunt refuses to let 1915 South brand ride on their equipment — negotiate for co–brand or decal–only
- Photo–send workflow fails at the driver level — solve with an iPad + app, not paper
- Uniformed teams = higher labor cost; the margin play requires the damage and CLV math to hold

Store-of-Future Single-Element Pilot

ID A2b · PROBLEMS P7 · METHOD #55 · bezos-shareholder-letters



WHAT

Instead of building one \$5M store-of-future flagship, pilot ONE high-impact element in one existing store. Three candidates: (1) AR room visualization app for customer use, (2) AI sales assistant on associate tablets, (3) smart-home integration demo zone. Run 90 days, measure, keep the winner, roll it.

WHY NOW

Retail-tech capex is notoriously vendor-pitched and under-measured. Every Ashley franchisee that built a "store of the future" flagship in 2019-2023 is quiet about the ROI. Small, measurable pilots beat big bets.

PILOT SPEC

One Tallahassee store, 90 days per element. Instrument conversion rate, ticket size, time-in-store, associate Net Promoter (do the associates actually use the tool?). Success: +5% conversion OR +\$200 ticket OR unanimous associate adoption.

IMPACT

If AR app lifts conversion 5% across 30 stores, +\$9M revenue. If AI sales assistant lifts ticket \$200, +\$8M. If smart-home demo zone drives no measurable lift, kill it — and you saved the \$5M flagship.

COMPETITIVE

Most furniture retailers skip piloting and buy "retail tech" in one consultant-driven fit-out. The pilot approach is rare and it's the reason it works.

RISKS / FAILURE MODES

- Pilot gets infected by vendor over-engineering — scope ruthlessly
- Associate adoption fails — without it, the tech is dead regardless of customer signal
- Ashley corporate has a competing store-of-future program and you conflict

PRECEDENT

Apple Store's Genius Bar was originally a one-store pilot. Nordstrom tested mobile checkout in one store for 18 months before rollout. Lowe's Holoroom AR pilot ran in two stores for 2 years.

OPS COMPLEXITY

Low-Moderate per element. AR app: off-the-shelf platforms exist (Hutch, IKEA Place clone). AI sales assistant: GPT-4 + product catalog + light CRM integration. Smart-home: requires physical buildout.

method

Builder Pro B2B Channel

ID A9 · PROBLEMS P10 · P9 · METHOD #5 · sam-walton-retail-doctrine

WHAT

A dedicated B2B channel for home builders, Airbnb hosts, and professional stagers. Volume pricing (20–35% off retail), dedicated rep, direct-to-jobsite delivery, flat monthly billing, white-label furniture packages ("studio," "1BR," "3BR family"). A channel Ashley corporate doesn't serve well.

WHY NOW

Southeast US housing starts remain high (~30% above pre-pandemic on rolling average). Airbnb hosts in FL and GA are underserved by traditional retail. Professional stagers buy from whoever has volume terms. Builder channel is a growth lane Justin's Corp Dev vision should capture.

PILOT SPEC

Target 20 builder accounts in Jacksonville + Tallahassee, 180 days. Instrument GMV, order frequency, margin vs retail blended, referrals, collection risk. Success: \$2M GMV, 38%+ margin, <2% bad debt.

IMPACT

\$5–15M annual revenue at maturity. Margin lower than retail (25–35% vs 42%) but CAC is near zero and volumes are higher. Customer lifetime value is multi-year by definition.

COMPETITIVE

Regional competitors (Havertys, RoomToGo) have limited B2B programs. Builder supply houses (Ferguson, Builders FirstSource) don't do furniture. White space.

RISKS / FAILURE MODES

- Credit/collections risk — install a credit bureau hook and hard terms
- Cannibalizes retail — monitor and only accept it if builder margin holds
- Requires a hunter rep Ashley-franchisees typically don't have — hire before launching

PRECEDENT

Home Depot Pro generates 50%+ of Home Depot revenue and is the company's fastest growth vector. Lowe's Pro is a strategic priority. Sherwin-Williams Pro is a case study in B2B retail expansion.

OPS COMPLEXITY

Moderate. Need B2B-specific pricing logic, credit terms, a dedicated rep, a builder-package catalog, a jobsite-delivery workflow. Most existing infrastructure adapts; the work is the go-to-market motion.

method

Kids-Room-in-a-Box

ID A10 · PROBLEMS P10 · METHOD #24 · foran-radical-simplification



WHAT

Pre-styled, age-banded furniture packages sold as one SKU. "Toddler Room" (\$899): bed, rug, dresser, nightstand. "Tween Room" (\$1,299). "Teen Room" (\$1,499). One decision, one price, one delivery. Photograph the full room staged; that's the product.

WHY NOW

Parental decision fatigue is the core insight. A parent shopping for a child's room furniture is making 8-12 decisions; Room-in-a-Box collapses that to one. Wayfair and IKEA have proven the packaged-room appetite; nobody has done it as a single-SKU retail product at scale.

PILOT SPEC

All 30 stores, 120 days. Three age bands × three style variants = 9 SKUs. Instrument attach rate when parent is in the store for kids' furniture, total ticket, return rate. Success: 20% of kids-room visits result in a Room-in-a-Box sale at a blended \$1,100 AOV.

IMPACT

Net-new revenue \$5-10M annually. Margin higher than piecemeal (reduced picking, reduced delivery complexity, fewer SKUs per order). Photogenic = social media asset.

COMPETITIVE

Most furniture retailers let customers build their own. Room-in-a-Box as a single SKU with one price is uncommon in mid-market retail.

RISKS / FAILURE MODES

- Cannibalizes higher-margin per-piece sales — size via incrementality test
- SKUs within the box go out of stock unevenly — build substitution rules
- Taste variance — three style variants may not be enough; iterate

PRECEDENT

IKEA's "roomplanner" and packaged room concepts. Wayfair's collections. Restoration Hardware's full-room staging. The Citizenry's "bundles." In automotive, "trim packages" are the closest retail analog — they simplify choice and lift average ticket.

OPS COMPLEXITY

Low. No new suppliers needed — just bundle existing SKUs. Need styling work, photography, pricing logic, and in-store merchandising. A 60-day build.

method

Sleep Lab Specialty Stores

ID A1 • PROBLEMS P6 • METHOD #9

A standalone 3–5K sqft sleep–specialty format with biometric mattress matching, pillow fitting, and sleep–coaching staff. Pilot 1–3 locations in dense markets. Ashley corporate is pushing sleep — the tailwind is there. First move: spend 30 days validating Ashley corporate's sleep franchise concept, then decide build vs. wait.

method

15-Minute Showroom (Small Format)

ID A3 • PROBLEMS P10 • METHOD #57

Neighborhood store under 3K sqft stocked with the top 20 SKUs and a same-day delivery promise. Suburban trade areas adjacent to flagship stores. First move: pick one trade area where flagship traffic is constrained, open a pop-up small format for 6 months, measure.

method

Concierge Appointment Showroom

ID A4 • PROBLEMS P7 • METHOD #9

By-appointment format for \$10K+ customers. Three to four designers per location, full room mockups in Unity/AR, wine and champagne on arrival. First move: run a "Concierge Saturday" event at one flagship for 8 weeks and measure ticket lift vs baseline.

method

Regional Assortment Editor

ID A6 • PROBLEMS P10 • METHOD #32

Curated micro-collections per store based on demographic cluster. FL coastal stores get different merchandise than AL rural. First move: segment 30 stores into 4-5 clusters, pilot 10% merchandise variance at two clusters for one quarter, measure sell-through delta.

method

Furniture Subscription (Rent-to-Own Tier)

ID A8 • PROBLEMS P10 • METHOD #57

Monthly-swap subscription targeted at Airbnb hosts, stagers, and military moves. Tiered by room size and quality level. First move: test demand via a landing page + waitlist in two markets before building the ops spine. Caution — Acima and Progressive Leasing already crowd the rent-to-own lane; differentiation has to be real.

method

Ops / AI Arbitrage

Ops and AI arbitrage: where AI implementation cost is dramatically lower than the value it creates at 30-store scale.



GMROI Optimization Engine

ID B1 · PROBLEMS P1 · METHOD #45 · toc-five-focusing-steps

WHAT

A live GMROI view at the SKU × store × region level, with weekly buy/cut/ rebalance recommendations and a standing 45-minute exec ritual to act on them. This is the execution layer Ashley corporate's GMROI Excellence Framework demands — the metric already exists, but nobody at 1915 South is using it to move money on a weekly cadence.

WHY NOW

Ashley corporate's December 2024 GMROI Excellence Framework is a top-down directive. Every franchisee will be scored. At \$182M revenue, a 10% GMROI shift equals \$2-4M of freed-up inventory capital. The infrastructure exists (Zapsight data foundation) — the ritual doesn't.

PILOT SPEC

All 30 stores, 90 days. Instrument SKU-level inventory turns, gross margin per SKU, weeks of supply, store-level sell-through. Success: measurable improvement in GMROI score within one quarter; cash freed reallocated to top 20% SKUs.

IMPACT

\$2-4M freed inventory capital at 10% GMROI lift. Margin percentage improvement of 0.5-1.5 points through better buy/cut decisions. Scales to other Ashley franchisees as an exportable framework.

COMPETITIVE

Most Ashley franchisees rely on the vendor dashboards corporate provides. A dedicated franchisee-level execution layer is rare. First-mover can publish the framework and become the reference implementation.

RISKS / FAILURE MODES

- Recommendations get ignored by buyers — solve with the exec ritual and scorecard, not more data
- Zapsight data has quality issues — budget for 30 days of data reconciliation before trusting recommendations
- Ashley corporate changes the GMROI methodology — stay close to Wanek's team

method

PRECEDENT

Theory of Constraints (Goldratt): identify the constraint, exploit it, subordinate everything else. In retail, Walmart's item-level P&L drives the entire buying discipline. Ashley corporate has already proven AI-forecasting lifts of 20-30% internally.

OPS COMPLEXITY

Moderate. Data plumbing exists via Zapsight. The work is (a) the analytical model, (b) the weekly ritual design, (c) the exec buy-in to actually cut SKUs based on the recommendations.

Marketing Content Factory (30-Market Engine)

ID B4 • PROBLEMS P2 • METHOD #32 • foran-radical-simplification

WHAT

A content engine that produces local-market content at scale across 30 stores — SEO landing pages, social posts, email sequences, Google Business Profile updates, local search answers. Feed it the store locations + inventory + local events; it produces 30 local pages monthly plus weekly social per market. Zero incremental marketing headcount.

WHY NOW

A 30-location retailer has a 30× SEO opportunity that single-location competitors can't match. Meanwhile AI-generated content costs have dropped 95%+ in 18 months. The gap between what's possible and what 1915 South is doing is the arbitrage.

PILOT SPEC

10 stores first, 90 days. Instrument: organic traffic delta, Google Business Profile actions, local search ranking, conversion from content-driven traffic. Success: 40% organic traffic growth on pilot stores vs control stores.

IMPACT

Content creation cost: -60-80% vs agency baseline. Incremental traffic: 500K-1M annual sessions at 30-store scale. Revenue: \$500K-\$2M from existing-customer re-engagement and new SEO acquisition.

PRECEDENT

Yelp, TripAdvisor, and Nextdoor all built content at location scale. In retail, Kohl's and Home Depot run programmatic local content. In furniture, this is almost completely unexploited.

COMPETITIVE

Regional furniture retailers either don't do local SEO or pay an agency per-store (expensive). At-scale AI-generated local content is a structural advantage.

OPS COMPLEXITY

Low-Moderate. Stack: a structured content CMS (Sanity or similar) + an LLM workflow + a review queue. Existing PIM and Google Business Profile feeds do most of the heavy lift.

RISKS / FAILURE MODES

- Google AI-content penalties — use AI for drafts, human review for publish
- Content becomes generic — solve with local-event + inventory specificity
- Reputation risk on auto-posted content — gate sensitive categories

method

AI Demand Forecasting (SKU × Store × Week)

ID B8 · PROBLEMS P1 · METHOD #41 · toyota-way-pillars

WHAT

A forecasting model that predicts demand at the SKU × store × week level, incorporating seasonality, local events, weather, and promotional activity. Feeds the buying team's PO decisions and the cross-store balance engine. 20–30% accuracy improvement over baseline is the target, matching Ashley corporate's published results.

WHY NOW

Ashley corporate has publicly claimed 20–30% forecast accuracy improvement from AI in their operation. Franchisees have not replicated it. Meanwhile ceased China sourcing (April 2025) and reshoring cost pressure make forecast accuracy more valuable than before.

PILOT SPEC

Top 500 SKUs, 120 days, all 30 stores. Instrument forecast accuracy vs baseline, stockout rate, overstock/markdown rate. Success: 20% accuracy improvement; 15% stockout reduction.

IMPACT

Inventory capital freed: \$1–2M. Markdown reduction: \$500K–\$1M.
Customer experience: fewer out-of-stocks on hero SKUs. Labor: buying team time freed from tactical PO work.

COMPETITIVE

Mid-market retailers rely on vendor-provided forecasts or Excel-based triangulation. An AI forecast specifically tuned to 1915 South's 30-store, 6-state footprint is a meaningful edge.

RISKS / FAILURE MODES

- Cold start problem — first 90 days will be rough, budget for it
- Model drift as demand patterns change — plan for quarterly retrain
- Buyers override the model without learning — instrument override rates

PRECEDENT

Walmart's retail link and forecasting systems. Ashley corporate's own AI forecasting program (20–30% accuracy lift published). Target's Guest inventory deployment.

OPS COMPLEXITY

Moderate-High. Requires clean POS data, transfer data, and promotional calendar. Zapsight's data layer is the foundation. Model maintenance is ongoing.

method

AP Automation + 13-Week Cash Forecast

ID B18 · PROBLEMS P3 · METHOD #8 · toyota-way-pillars

WHAT

Invoice OCR, 3-way match automation, vendor payment optimization, plus a rolling 13-week cash forecast with variance alerts. AP processing cost drops 40–60% per industry data; cash visibility improves dramatically. The piece of the back office that writes itself.

WHY NOW

AP automation is the most mature back-office AI application. Ashley corporate has already built this internally — the blueprint exists. A \$182M retailer with manual AP and batch cash reporting is leaving obvious money on the floor.

PILOT SPEC

All legal entities, 120 days. Instrument: invoice cycle time, AP FTE hours, early-pay discount capture, cash forecast accuracy. Success: 50% cycle-time reduction; 80%+ early-pay discounts captured; ±5% cash forecast accuracy at 4 weeks.

IMPACT

AP cost: −\$200–400K annually. Early-pay discount capture: +\$100–300K. Working capital: \$1–3M timing improvement via cash forecast accuracy. Finance team: frees 1.5–2.5 FTE for higher-value work.

PRECEDENT

Bill.com and Stamplicy have productized this for mid-market. Ashley corporate has published 40–60% AP cost reductions from their internal deployment. Foran's Kogan.com case study (radical back-office simplification) is instructive.

COMPETITIVE

Most \$100–300M retailers are behind on AP automation — it's an open goal. Vendors make implementation turnkey.

OPS COMPLEXITY

Moderate. Off-the-shelf tools exist. Implementation is disciplined change management, not technology. 90-day go-live feasible.

RISKS / FAILURE MODES

- ERP integration complexity — budget for this up-front
- Vendor onboarding friction — prioritize top 50 vendors by spend
- AP team resistance — redeploy, don't cut, during pilot

method

AI Pricing Engine

ID B2 · PROBLEMS P1 · P10 · METHOD #41 · sam-walton-retail-doctrine

WHAT

Dynamic pricing on the top 500 SKUs, tuned by region, season, and competitive signal. Price elasticity derived from 1915 South's own POS history plus competitive scrape data. Justin ran Flight Deck pricing analytics at Walmart — this is his home turf translated to 1915 South.

WHY NOW

Furniture pricing is largely static — Ashley MSRP minus a chain-wide discount. POS elasticity data is sitting unused. Regional variance (FL coastal vs AL rural) creates obvious arbitrage that one-price discipline leaves on the floor.

PILOT SPEC

Top 500 SKUs, 90 days, all 30 stores. A/B hold on 5 stores as control. Instrument gross margin, sell-through, ticket size. Success: +0.5–1.0 points of gross margin without sell-through degradation.

IMPACT

Gross margin: +\$900K–\$1.8M annually at 0.5–1.0 point lift. Scales to all SKUs in year two.

PRECEDENT

Amazon's dynamic pricing. Walmart's Flight Deck (Justin's domain). Target's price optimization. In furniture, regional pricing variance is almost completely absent.

COMPETITIVE

Most Ashley franchisees price from corporate MSRP. Dynamic, regional pricing is a structural edge that scales with the store count.

OPS COMPLEXITY

Moderate. Data exists, elasticity models exist, pricing workflow tools exist. The work is integration and governance.

RISKS / FAILURE MODES

- Price churn erodes customer trust — set guardrails on price change frequency
- Ashley corporate objects to deviation from MSRP — pre-align with Wanek's team
- Competitive retaliation — monitor for 90-day symmetric moves

method

Automated Markdown Strategy

ID B3 · PROBLEMS P1 · METHOD #8 · toc-five-focusing-steps

WHAT

A markdown engine that determines the optimal timing and depth of markdowns by SKU, protecting margin while clearing slow-movers before they become liabilities. The companion to the pricing engine — dynamic pricing going down instead of up.

WHY NOW

The typical furniture markdown cycle is reactive — a SKU sits, eventually gets blanket 20–30% off. An AI model can stair-step markdowns earlier and shallower, protecting more margin. With Ashley's GMROI framework, slow-mover exposure is measured.

PILOT SPEC

90 days on all SKUs aged >90 days. Instrument sell-through rate, recovered margin vs baseline blanket markdown, carrying cost reduction. Success: +2–4 margin points on cleared SKUs vs baseline.

IMPACT

Recovered margin: \$500K–\$1.5M annually. Working capital: faster inventory turns on slow-movers = freed cash.

PRECEDENT

Zara and H&M run algorithmic markdown. Macy's and Nordstrom have matured markdown optimization. In furniture retail this is rare and underexploited.

COMPETITIVE

Blanket seasonal markdowns are the norm. Algorithmic markdown is a clear differentiation.

OPS COMPLEXITY

Moderate. Shares infrastructure with B2 (pricing engine). The work is the markdown curve model.

RISKS / FAILURE MODES

- Customers learn the algorithm and wait for markdowns — rotate mechanics
- Ashley corporate pricing policy — coordinate
- Floor associates make ad-hoc deals — enforce via POS

method

Review Management Autopilot

ID B5 · PROBLEMS P2 · METHOD #8 · danny-meyer-hospitality

WHAT

AI-drafted responses to Google, Yelp, and Facebook reviews across all 30 locations. Sentiment triage routes negative reviews to local store manager; positive reviews get thanked fast; patterns get flagged to corporate. Turns a time-hog into a background process.

WHY NOW

Review volume at 30 stores is overwhelming for manual response but critical for local search ranking. AI-drafted responses at scale, with human approval on negatives, is mature technology.

PILOT SPEC

All 30 stores, 60 days. Instrument: response rate, response time, star rating delta, sentiment trend. Success: 95% response rate within 24h; +0.2 star average across portfolio.

IMPACT

Local SEO lift: moderate but compounding. Customer recovery: more bad experiences recovered. Operational: ~2 hours per store per week returned.

COMPETITIVE

Most Ashley franchisees respond sporadically. Systematic response is an SEO and CX edge.

RISKS / FAILURE MODES

- AI drafts sound generic — human review is mandatory on negatives
- Privacy issues with customer names in reviews — policy + training
- Gaming via fake reviews — use review verification tools

PRECEDENT

Birdeye, Podium, and Yext all productize this. Marriott and Hilton run it at chain scale. In retail, Best Buy and Home Depot have mature review workflows.

OPS COMPLEXITY

Low. Off-the-shelf tools (Birdeye, Podium) + local store manager workflow. 30-day go-live.

method

Regional Ad Spend Optimizer

ID B6 · PROBLEMS P2 · METHOD #49 · sam-walton-retail-doctrine

WHAT

AI-driven allocation of paid media budget across 30 markets based on real-time conversion data. Instead of equal spend per market or gut feel, budget flows to where each dollar converts hardest. Reduces waste, increases ROAS at the portfolio level.

WHY NOW

Furniture advertising is 5–7% of revenue — at \$182M that's \$9–12M annually. If 15% is wasted on low-ROAS markets (typical), that's \$1.5–1.8M of reclaimable spend. Attribution tools (Google Ads, Meta) have matured to enable this.

PILOT SPEC

90 days on 10 markets, pure-play A/B against 10 control markets. Instrument: ROAS by market, conversion rate, cost per lead, attributed revenue. Success: +15% ROAS on pilot markets vs control.

IMPACT

Reclaimed ad spend: \$800K–\$1.5M annually. Incremental revenue from reallocation to high-ROAS markets: \$1–3M.

COMPETITIVE

Regional retailers typically equal-allocate or gut-allocate. Data- driven optimization is a defensible edge.

RISKS / FAILURE MODES

- Attribution noise in early weeks — budget for 45-day observation
- Local market relationships (media buyers) disrupted — involve early
- Over-optimization for short-run ROAS erodes brand — balance

PRECEDENT

Amazon, Walmart.com, and DTC brands have matured attribution-driven allocation. Casper and Purple scaled this way. In furniture retail, it's rare.

OPS COMPLEXITY

Moderate. Requires first-party conversion data + Meta/Google API integration + a small ops team to act on reallocations.

method

Labor Scheduling AI

ID B9 · PROBLEMS P2 · METHOD #45 · chipotle-throughput-model

WHAT

Demand-based staffing across 30 stores. POS history + foot traffic + weather + local events feed a scheduling model that builds shifts. Cut over-staffing on slow days, cover under-staffing on peak. Target 5% labor reduction on a ~\$30-40M labor base.

WHY NOW

Labor as % of revenue is rising across retail. Scheduling accuracy is where AI shows clear ROI fastest. Mature solutions (UKG, Legion) exist.

PILOT SPEC

6 stores, 90 days. Instrument: sales-per-labor-hour, conversion rate by shift, associate satisfaction, overtime. Success: +10% sales per labor hour without satisfaction decline.

IMPACT

Labor savings: \$1.5-2M annually at 5% reduction. Customer experience improvement from better staffing at peak.

PRECEDENT

Chipotle, Starbucks, and Target run AI-driven labor scheduling. Legion, UKG Dimensions, and Deputy have productized this.

COMPETITIVE

Most Ashley franchisees use manual scheduling or basic POS-driven templates. AI scheduling is a meaningful edge.

OPS COMPLEXITY

Moderate. Needs POS integration, foot-traffic data source (B7 optional), and manager buy-in. 90-day go-live.

RISKS / FAILURE MODES

- Associates resist schedule unpredictability — provide 2-week lookahead minimum
- Data quality on foot traffic — can run without initially
- Labor regulations (FL/AL/GA variance) — ensure compliance

method

Cross-Store Inventory Balance Engine

ID B10 · PROBLEMS P1 · METHOD #45 · toc-five-focusing-steps

WHAT

Automated rebalance recommendations — and eventually auto-execution — across 30 stores and 3 DCs. A sofa stocked out in Store 14 while three sit at Store 22? System flags it, schedules transfer, updates both POS. A companion to the GMROI engine (B1).

WHY NOW

Multi-location stockouts are the #1 lost-sale driver in distributed retail. Ashley corporate has not solved this for franchisees. 3 DCs + 30 stores is operationally complex enough to justify the model but manageable enough to pilot.

PILOT SPEC

2 DCs + 10 stores, 90 days. Instrument: store-level stockout hours, transfer volume, in-stock rate, customer save-the-sale rate. Success: 30% reduction in stockout hours on top-100 SKUs.

IMPACT

Stockout revenue recovery: \$1–2M annually. Inventory efficiency: 2–5% reduction in total inventory for same service level.

COMPETITIVE

Rare among Ashley franchisees. Clear edge.

PRECEDENT

Walmart's store-to-store transfer engine. Best Buy's ship-from-store logic. Amazon's multi-node inventory balancing.

OPS COMPLEXITY

High. Requires real-time inventory accuracy, transfer logistics capacity, and exec sign-off on auto-execution thresholds.

RISKS / FAILURE MODES

- Inventory inaccuracy sinks the model — fix cycle-count discipline first
- Transfer logistics cost exceeds save-the-sale value — govern with unit economics
- Associates resent transfer work — automate execution, not just recommendation

method

Final-Mile Routing + Damage Telemetry

ID B12 · PROBLEMS P8 · METHOD #8 · toc-five-focusing-steps

WHAT

Route optimization for all final-mile deliveries plus damage-rate telemetry by driver, by SKU, and by route type. Direct operating savings on miles and fuel; compounded savings on damage prevention. The data infrastructure that makes the JB Hunt partnership measurable.

WHY NOW

JB Hunt partnership is under evaluation — the right time to set measurement expectations. Damage rates of 4-6% on \$2,500 average tickets leak \$5M+ annually at 40K deliveries.

PILOT SPEC

2 DCs, 90 days. Instrument miles per delivery, fuel cost, damage rate per driver, customer NPS tied to delivery experience. Success: 8% mile reduction, 25% damage rate reduction.

IMPACT

Fuel + miles: \$400K-\$800K. Damage: \$1-2M. Combined \$1.5-3M.

PRECEDENT

ORION at UPS saved ~100M miles and \$400M annually. FedEx Ground optimization. Amazon's last-mile routing model.

COMPETITIVE

Table-stakes in parcel logistics, rare in furniture final-mile.

OPS COMPLEXITY

Moderate. Route optimization tools are mature. Damage telemetry is the less-automated piece.

RISKS / FAILURE MODES

- Drivers feel surveilled — frame as performance enablement, reward top performers
- JB Hunt runs their own optimization — negotiate co-visibility
- Damage attribution disputes — install photo-documentation at dock and delivery

method

Dynamic Bundle Merchandising

ID B16 · PROBLEMS P10 · METHOD #24 · sam-walton-retail-doctrine

WHAT

AI suggests high-attach-rate bundles (sofa + coffee table + rug + end tables) per store or region. Offered in-store and online with bundle discount. Lifts average ticket, increases attach rate, simplifies the customer decision.

WHY NOW

Furniture attach rates are typically low because complementary items live across store sections. A bundle engine powered by affinity analysis (what do these customers actually buy together) raises attach.

PILOT SPEC

10 stores, 60 days. Instrument attach rate, ticket lift, bundle AOV vs à la carte, customer satisfaction. Success: +\$300 ticket lift when bundle is purchased; 15% attach.

IMPACT

Revenue lift: \$2–5M annually from higher tickets and more attaches.

PRECEDENT

Amazon's "frequently bought together." Restoration Hardware's room packaging. Crate & Barrel's room scenes.

COMPETITIVE

Most Ashley franchisees don't do affinity-driven bundling.

OPS COMPLEXITY

Low–Moderate. POS affinity data exists; UX work is the bigger lift.

RISKS / FAILURE MODES

- Cannibalizes higher-margin single-item sales — size carefully
- Bundle pricing erodes margin — enforce margin floors
- Customer confusion — present bundles alongside à la carte, not replacing

method

Supplier + Vendor Consolidation Engine

ID B17 · PROBLEMS P3 · METHOD #3 · thorndike-capital-allocation

WHAT

Data-driven vendor scorecards across all suppliers (furniture, SaaS, services). Consolidation recommendations based on total spend, reliability, unit economics. Price negotiation leverage from spend visibility. A back-office discipline Thorndike-style capital allocators run by default.

WHY NOW

Multi-generation family businesses typically have vendor bloat from accumulated relationships. \$182M of spend is enough to negotiate hard if visibility exists.

PILOT SPEC

90 days to build vendor register + scorecard + consolidation plan. Execute on top 20 vendors in next 90 days. Instrument spend reduction, service delta, vendor count reduction. Success: 10-20% spend reduction on targeted category.

IMPACT

Spend reduction: \$500K-\$2M annually across targeted categories.

PRECEDENT

Private equity vendor consolidation playbook. Thorndike's case studies on capital discipline.

COMPETITIVE

Not competitive differentiation per se, but a margin unlock.

OPS COMPLEXITY

Low-Moderate. Data + analysis work. No new tech required.

RISKS / FAILURE MODES

- Vendor relationships predate current exec team — handle with care
- Short-term disruption during switchovers — plan carefully
- Volume discounts hide in opaque contracts — budget audit time

method

Real-Time Store-Level P&L

ID B19 · PROBLEMS P3 · METHOD #45 · sam-walton-retail-doctrine

WHAT

Daily/weekly P&L by store, region, and category. Automated variance triage ("why is Store 14 underperforming vs Store 22 this week?" with root-cause breakdown). Powers the weekly ops ritual.

WHY NOW

Sam Walton's management was built on knowing every store's numbers. Most mid-market retailers have monthly P&L at best. Real-time store P&L is the single biggest lever in store operations discipline.

PILOT SPEC

10 stores, 90 days. Instrument: dashboard adoption, action velocity on variance alerts, store performance delta vs baseline. Success: weekly exec ritual established, 3+ documented variance-driven actions per month.

IMPACT

Difficult to isolate, but management discipline is upstream of every other operating improvement. Conservative: 0.5 points of EBITDA = \$900K annually.

COMPETITIVE

Every strong retailer has this. Most Ashley franchisees don't.

PRECEDENT

Walmart's weekly Saturday meeting. Costco's real-time sales reporting. Chick-fil-A operator dashboards.

OPS COMPLEXITY

Moderate. Data plumbing exists via Zapsight. Work is the UX and the exec ritual design.

RISKS / FAILURE MODES

- Data quality — validate before deploying
- Info overload without clear actions — design around 5 key KPIs
- Store managers game the metrics — include quality measures

method

Competitive Price Scraping + Alerts

ID B20 · PROBLEMS P2 · METHOD #42 · sam-walton-retail-doctrine

WHAT

Daily scrape of Rooms To Go, Havertys, Bob's Discount Furniture, Ashley direct, Wayfair, and Amazon pricing on top 500 matching SKUs. Alert when price delta exceeds threshold. Feeds the pricing engine (B2) and the buying team's competitive awareness.

WHY NOW

Competitive price scraping is a commodity service. Furniture has lagged in price transparency but it's coming — online price comparison is normalizing.

PILOT SPEC

Top 500 SKUs, 60 days. Instrument: price-delta alerts generated, action rate, margin impact of responses. Success: daily scrape reliability >95%, <5% false match rate, pricing team acts on 2-3 alerts per week.

IMPACT

Margin protection: \$300K-\$800K annually via timely competitive responses. Buyer confidence: better PO negotiation.

COMPETITIVE

Table stakes in online, rare in furniture retail.

RISKS / FAILURE MODES

- SKU matching accuracy — budget for a matching taxonomy
- Retaliatory pricing war — govern with discipline
- Scraping blocked by competitors — switch vendors if needed

PRECEDENT

DataWeave, Price2Spy, Prisync. Amazon's internal competitive monitoring. Walmart's price intelligence operation.

OPS COMPLEXITY

Low. Commodity vendors do this. 30-day go-live.

method

Showroom Traffic + Conversion Analytics

ID B7 · PROBLEMS P2 · METHOD #45

Anonymized camera + beacon analytics to track foot traffic, dwell time, and conversion in-store. Feeds staffing (B9) and layout optimization. First move: 3-store pilot with off-the-shelf tools (RetailNext, Placer.ai). Privacy considerations are the primary governance question.

method

DC Put-Away + Pick Optimization AI

ID B11 · PROBLEMS P8 · METHOD #45

Warehouse slotting + pick-path AI across 3 DCs. 20-30% picker-step reduction is standard in the industry. First move: pick one DC, benchmark current picker steps/order, pilot a WMS upgrade with slot optimization. Requires capital more than it requires strategy.

method

Lead Scoring for Sales Associates

ID B14 • PROBLEMS P2 • METHOD #45

Score web leads and in-store visitors by close probability. Prioritize associate follow-up time toward high-probability customers. First move: collect 6 months of historical close data, train a model, pilot with top 5 stores. Quick win if data is clean.

method

AI Sales Coach (Real-Time Associate Assistant)

ID B15 · PROBLEMS P2 · METHOD #55

Tablet-based assistant for floor associates. Product knowledge, objection handling, CRM prompts, inventory check. First move: build a minimal version on GPT-4 + product catalog, test in 2 stores for 90 days. Risk: associate adoption, which is gating for every retail-tech pilot.

method

Back-Office / CFO Transition

Back-office and CFO transition: the operating foundation that enables everything else in this document.



CFO Role Redesign — Hybrid Financial + Tech + AI Officer

ID C1 • PROBLEMS P4 • METHOD #3 • high-output-management

WHAT

A written role definition, scorecard, and year-1/2/3 mandate for a Chief Financial + Technology Officer. Core: traditional controllership plus explicit ownership of the Zapsight relationship, the AI/tech investment roadmap, and the analytics spine. Explicit NOT-my-job list so the role doesn't collapse back to bookkeeping. The unlock for everything else in this document.

WHY NOW

Justin said in the April 20 email that this is "where I feel like you could bring some pretty significant value." The role as he described it does not exist in the market without redesign — a traditional CFO will not do AI strategy; a strategist will not do controllership. Someone has to define it.

PILOT SPEC

30-day write-up: role definition, KPI set, first-90-day mandate, year-1 mandate, year-2/3 expansion map, NOT-my-job list. Russell and Justin sign off. Hiring timeline: 60-120 days for full-time; 30 days for fractional/advisory.

IMPACT

The enabling condition for every ops, product, and back-office idea in this workshop. Without it, initiatives scatter across VPs without the financial + tech seniority to make tradeoffs.

COMPETITIVE

A defined role is not a competitive differentiator — it's the foundation that makes every other differentiator possible.

RISKS / FAILURE MODES

- Existing CFO transition is mishandled — plan succession/exit first
- Role becomes a god-role — balance with a strong VP People partnership
- Hiring takes 9-12 months — interim fractional arrangement covers the gap

PRECEDENT

Andy Grove on role design in High Output Management. The CFO-plus-technology pattern at Gainsight, Stripe, and Datadog in their growth years. Brady has lived this peer role at a COO level.

OPS COMPLEXITY

Low technically, High politically. Russell has to endorse, Justin has to back, existing CFO conversation has to be managed.

method

AI/Tech Investment ROI Framework

ID C5 · PROBLEMS P7 · P5 · METHOD #41 · thorndike-capital-allocation

WHAT

A common scoring template for every tech/AI investment — initial business case, expected ROI, milestones at 3/6/12 months, kill-or- scale decision criteria. Quarterly review at the exec level. Every Zapsight scope, every software procurement, every AI tool goes through the same gate.

WHY NOW

Retail-tech capex is notoriously vendor-pitched and measured poorly. Zapsight is an active example — what's the ROI framework for that engagement? The AI/tech spend is about to accelerate; without a framework it accelerates into waste.

PILOT SPEC

30 days to build the framework. Apply retroactively to 5 in-flight tech investments (Zapsight included). Then every new investment runs through it. Instrument: % of tech spend scored, kill rate on underperforming investments.

IMPACT

Capital preservation: 10–20% of poor tech spend killed at 6-month gate instead of running 2 years. At \$2–4M annual tech budget, that's \$200–800K annually.

PRECEDENT

Thorndike's capital allocation discipline (Outsiders). Bezos's reversible vs irreversible decision framing. GE's old 4-gate Six Sigma framework.

COMPETITIVE

Structural capital discipline — Ashley corporate could adopt this at the franchise level.

OPS COMPLEXITY

Low. It's a template + a governance rhythm.

RISKS / FAILURE MODES

- Framework becomes theater — enforce the kill decisions
- Vendors game the milestones — require objective metrics
- Delays good decisions — set a 2-week fast-track for clear wins

method

Vendor Management Office (VMO)

ID C6 · PROBLEMS P3 · P5 · METHOD #8 · slootman-amp-it-up

WHAT

Centralized register of all SaaS/tech/services vendors. Contract terms, pricing, renewal calendar, performance metrics, consolidation targets. One person owns it (inside the CFO org). Prevents renewal auto-pilot, surfaces consolidation opportunity, governs new procurement.

WHY NOW

\$182M multi-generation businesses accumulate vendor bloat. Without a VMO, renewals happen in silos and consolidation never occurs.

PILOT SPEC

30-day build of the register and renewal calendar. 60 days to consolidate top 10 opportunities. Instrument: vendor count, spend, renewal cycle discipline. Success: 15% vendor count reduction, \$250-500K annual savings.

IMPACT

Direct savings \$250K-\$1M annually. Indirect: faster procurement, better negotiating position.

PRECEDENT

Standard PE-owned company playbook. Slootman's Snowflake era on pace and discipline.

COMPETITIVE

Not differentiating externally. Internal efficiency play.

OPS COMPLEXITY

Low. One register + one owner + a quarterly review.

RISKS / FAILURE MODES

- Register atrophies without ownership — name one person, not a committee
- Consolidation disrupts a critical vendor — require transition plans
- Renewal pressure ignored — CFO enforcement required

method

ERP Migration Decision Framework

ID C2 · PROBLEMS P3 · METHOD #3 · thorndike-capital-allocation

WHAT

A structured evaluation of Sage Intacct vs NetSuite vs Acumatica vs QBO Advanced, scored against 1915 South's actual requirements: 30-location multi-entity reporting, M&A integration capability, Ashley corporate reporting requirements, retail POS integration, growth headroom to \$500M.

WHY NOW

QBO transition is floated in the brief. QBO may be undersized at \$182M. The decision should happen with a framework, not by vendor pitch. This is the kind of decision a new CFO owns in first 90 days.

PILOT SPEC

45-day evaluation. Vendor demos, reference checks, cost modeling, integration mapping. Output: scored decision document and rollout plan. Success: clear recommendation with board sign-off.

IMPACT

A bad ERP choice costs 2-3 years of productivity; a good one enables everything else. Decision value is measured in years.

PRECEDENT

Standard CFO playbook for mid-market ERP selection. Firms like Eide Bailly, BDO have public methodology.

COMPETITIVE

Not differentiating.

OPS COMPLEXITY

Moderate. The choice is load-bearing for 5+ years.

RISKS / FAILURE MODES

- Vendor capture during eval — structure the eval to prevent
- Under-scoping integration requirements — map end-state first
- Ashley corporate dictates a platform — check early

method

Multi-Entity Financial Reporting Framework

ID C3 · PROBLEMS P3 · METHOD #32 · sam-walton-retail-doctrine

WHAT

Canonical P&L + balance sheet + cash flow structure across legal entities × stores × merchandise categories. Makes Ashley corporate reporting + GMROI reporting + store-level P&L (B19) come from the same source of truth.

WHY NOW

Growing from hardware store to \$182M franchisee without a clean reporting structure creates fragmentation. The new CFO + ERP decision must land on one canonical structure, not inherit five.

PILOT SPEC

60 days to design the canonical structure with the current FP&A team. 90 days to implement across existing reporting. Success: single source of truth, all exec reports source from it.

IMPACT

Enabler for B1, B19, C4, C8 — the operating cadence depends on trusted numbers.

PRECEDENT

Standard multi-entity retailer practice. Walmart's store-level P&L discipline is the reference.

COMPETITIVE

Foundational, not competitive.

OPS COMPLEXITY

Moderate. Cross-functional alignment is the hard part.

RISKS / FAILURE MODES

- Current reports get abandoned before new ones are trusted — phase carefully
- GL chart of accounts conflicts — resolve before rollout
- Store managers lose visibility — build local views alongside

method

Month-End Close Acceleration

ID C4 · PROBLEMS P3 · METHOD #45 · toyota-way-pillars

WHAT

Cut the month-end close from typical 10–15 days to 3–5 days through automation (AP, bank rec, accrual rules), standardization (close checklist), and discipline (close-day ritual). Every day earlier is a day more of decision time.

WHY NOW

A slow close blocks every downstream decision. Modern finance tools (FloQast, BlackLine, and ERP-native) make a faster close standard.

PILOT SPEC

90 days. Instrument: close days, error rate, re-open rate. Success: 3-day reduction in close cycle; error rate flat or improved.

IMPACT

Decision velocity: exec team operates on prior-month data 5–10 days sooner. Indirect financial impact: faster variance action.

PRECEDENT

Amazon's 1-day close was published in 2019. Airbnb runs a 2-day close. Toyota Way applied to accounting.

COMPETITIVE

Foundational, not competitive.

OPS COMPLEXITY

Moderate. Requires disciplined accounting team + tooling.

RISKS / FAILURE MODES

- Errors increase under pressure — instrument
- Ashley corporate reporting deadlines constrain — align early
- Resistance from CFO/controller — tie to new CFO mandate

method

Capital Allocation Dashboard (Russell’s View)

ID C8 • PROBLEMS P9 • METHOD #49 • thorndike-capital-allocation

WHAT

A single-page executive dashboard for Russell: cash balance, rolling free cash flow, capital deployment options (new stores / tech investment / M&A / dividend to family), expected ROI on each. Purpose-built for the sole owner's decision rhythm.

WHY NOW

14% EBITDA on \$182M = ~\$25M annual EBITDA, roughly \$15–18M free cash flow after debt service + capex. That's a significant annual capital allocation decision. Russell has stepped back operationally but still owns the capital decisions.

PILOT SPEC

30 days to design + build. Monthly review rhythm with Russell and Justin. Success: Russell uses it as his primary capital reference.

IMPACT

Better allocation decisions compound. 200 bps of improved ROI on \$15M deployed = \$300K annually, compounding.

PRECEDENT

Thorndike's Outsiders case studies (Tom Murphy, John Malone, Henry Singleton). Berkshire's reporting discipline.

COMPETITIVE

Foundational.

OPS COMPLEXITY

Low-Moderate. Data exists; the UX is the work.

RISKS / FAILURE MODES

- Russell distrusts a dashboard over his instincts — design it with him
- Garbage in, garbage out on ROI assumptions — govern carefully
- Becomes a vanity dashboard — tie to decisions

method

Finance Org Redesign — Flat + AI-Native

ID C9 · PROBLEMS P3 · P4 · METHOD #3 · slootman-amp-it-up

WHAT

Redesign the finance org around AI-native workflows. Fewer, higher-leverage roles (FP&A analyst → strategic finance business partner). AI handles AP/AR/reconciliation; humans focus on analysis and business partnering. Net headcount flat or slightly reduced; output 2–3x.

WHY NOW

AI is reshaping finance roles faster than most retailers realize. Doing the redesign now (during CFO transition) is cheaper than doing it later as a forced restructuring.

PILOT SPEC

90 days to design. 180 days to phase in. Instrument: role clarity, FTE productivity, employee engagement, output velocity. Success: no headcount increase despite 50% more analysis output.

IMPACT

Productivity 2–3x at flat cost. Finance team becomes a business partner, not a scorekeeper.

COMPETITIVE

Edge, not table–stakes.

RISKS / FAILURE MODES

- Morale damage during transition — invest in comms and re–skilling
- AI fails on core workflows — pilot before committing
- Losing institutional knowledge — retain the best

PRECEDENT

Slootman at Snowflake — intensity and role clarity. Stripe's finance org is oft–cited as AI-native.

OPS COMPLEXITY

High. People + process + tech redesign in parallel.

method

Zapsight Relationship Redesign (RACI + SOW)

ID C10 • PROBLEMS P5 • METHOD #8 • high-output-management

WHAT

A clear RACI for the Zapsight relationship: what 1915 South owns vs what Zapsight delivers, SOW milestones with measurable exit criteria, data-ownership terms, exit clauses. Prevents vendor lock-in and scope creep.

WHY NOW

Zapsight is mid-engagement. The brief notes "data foundation largely complete; Agentic AI capabilities development." This is the moment to clarify boundaries before Phase 2 expands the scope.

PILOT SPEC

30 days. RACI document, revised SOW, data-ownership terms. Success: signed new SOW with explicit milestones and exit clauses.

IMPACT

Prevents the common vendor-capture trap. Preserves 1915 South's optionality.

PRECEDENT

Standard CIO playbook for managed services relationships. High Output Management on role clarity applied to vendor relationships.

COMPETITIVE

Foundational governance.

OPS COMPLEXITY

Low-Moderate.

RISKS / FAILURE MODES

- Zapsight resists — negotiate from a clear alternative
- Internal team prefers vendor-led delivery — establish ownership
- Contract friction delays delivery — agree on phases

method

M&A Acquisition Playbook

ID C7 · PROBLEMS P9 · METHOD #3 · thorndike-capital-allocation

WHAT

A repeatable financial + operational due-diligence template and integration runbook for furniture-store acquisitions. Two artifacts: (1) a 40-item diligence checklist covering financials, operations, real estate, inventory, staff, customer base, vendor contracts, and Ashley corporate considerations; (2) a 90-day integration runbook with RACI, milestones, and kill criteria. Built while Yulee integration is still fresh in muscle memory.

WHY NOW

Justin added a net-new executive role — VP of Corporate Development and Strategy — in his April 20 email. Yulee, FL was acquired in 2025. Ashley franchisee consolidation is active across the Southeast. Without a playbook, each deal is built from scratch; with one, deal cadence and quality both rise. The moment is now because the Yulee lessons will atrophy in 6-12 months.

PILOT SPEC

60 days. Reverse-engineer the Yulee deal into a structured checklist and integration timeline. Validate with Justin and the new VP Corp Dev. Test against one hypothetical pipeline target (paper exercise). Success: signed playbook, first deal sourced/evaluated through it within 120 days.

IMPACT

Direct: reduces diligence cycle time by 30-50% on the next deal.
Indirect: enables deal throughput (1-2 deals/year becomes achievable without burning the exec team). Margin protection: fewer post-close surprises from things a checklist would have caught. Value of one avoided bad deal on a \$5-15M acquisition: enormous and uncounted.

COMPETITIVE

Most single-state Ashley franchisees have no M&A discipline and treat each opportunity as one-off. 1915 South as a roll-up platform in the Southeast is a credible strategic position — a playbook is the infrastructure that makes it real.

RISKS / FAILURE MODES

- Playbook becomes shelfware — tie it to the first deal review rhythm
- Ashley corporate changes franchise transfer rules — monitor and version
- Over-indexing on Yulee patterns that don't generalize — red-team the checklist against 2-3 hypothetical deal archetypes (distressed, growth, tuck-in) before finalizing

PRECEDENT

Thorndike's Outsiders is the canonical reference — capital allocators with repeatable M&A processes (Tom Murphy at Capital Cities, Henry Singleton at Teledyne) compounded faster than peers. In retail: Danaher Business System applied to acquisitions, Roper Technologies' decentralized playbook. In furniture specifically: Ashley corporate's own franchisee consolidation moves produce unpublished know-how that a franchisee-side playbook can selectively mirror.

OPS COMPLEXITY

Low-Moderate. Document + process work, not technology. Requires 20-30 hours of VP Corp Dev time plus CFO review. Biggest complexity is retaining institutional knowledge of the Yulee deal before it fades.

How This Workshop Was Built

This workshop was generated using the combined Innovation Workshop and Operations Innovation Engine pipelines. Stage 0 used the April 21 internal brief as a sharp-thesis Level-3 input (no fresh research). Stage 1 applied 10 methods from the full-stack-ideation library. Stage 2 generated 40 raw ideas across three tracks. Stage 3 scored each against the ops rubric (5 criteria, weighted composite) and tiered into Do Now / Explore / Watch.

METHOD FREQUENCY

METHOD #	COUNT
#3	5
#5	3
#8	6
#9	2
#24	2
#32	3
#41	3
#42	1
#45	8
#49	2
#55	2
#57	2

OPERATOR WISDOM REFERENCED

FRAMEWORK	IDEAS ANCHORED
sam-walton-retail-doctrine	9
thorndike-capital-allocation	5
foran-radical-simplification	4
toc-five-focusing-steps	4
toyota-way-pillars	4
chipotle-throughput-model	4
danny-meyer-hospitality	3
bezos-shareholder-letters	2
high-output-management	2
slootman-amp-it-up	2

SCORING RUBRIC

CRITERION	WEIGHT	SCORE 5
Labor / cost impact	25%	>15% or structural cost-curve reset
Throughput / speed impact	20%	>30% gain or unlocks new format
Scalability	20%	Extends beyond client (category creation, exportable framework)
Time to pilot	15%	<90 days
Risk-adjusted feasibility	20%	Low risk, strong precedent, reversible pilot

Tier 1 ≥ 4.00 • Tier 2 3.50-3.99 • Tier 3 3.00-3.49 • Cut below 3.00.

- Internal brief: *1915 South / Justin Woods — Comprehensive Analysis & Opportunity Brief*, April 21, 2026
- Justin Woods, April 20, 2026 email outlining leadership-team vision
- Ashley Furniture Industries public statements on GMROI Excellence Framework (Dec 2024) and AI mandate
- Operator wisdom cards: toc-five-focusing-steps, toyota-way-pillars, sam-walton-retail-doctrine, foran-radical-simplification, thorndike-capital-allocation, high-output-management, bezos-shareholder-letters, danny-meyer-hospitality, slootman-amp-it-up, chipotle-throughput-model
- Industry benchmarks: Furniture Today 2024 consumer panel; Best Buy Geek Squad public reporting; Ashley corporate AI forecast accuracy claims